



**Quarterly fund reporting
Vintage III**

Q1 2025

May 2025

Strictly private and confidential!

The private equity market environment

After a strong year of dealmaking in 2024, investor sentiment has shifted back to a more cautious tone in Q1 2025 amid geopolitical tensions. Q1 deal value dropped 24.6% QoQ while deal count lagged by 17.7% QoQ. Geopolitical tensions with the US accompanied by political instability in France and Germany have taken centre stage in Q1, causing hesitation among investors. Trade tariffs will impact PE portfolio companies and may reshape certain industries. Sectors such as manufacturing, retail, commodities, and consumer goods will suffer from more tariffs globally, while healthcare and software-as-a service firms may be more insulated. Furthermore, Europe continues to face an energy crisis, underinvests in defence, and lags in the tech sector. All of these industries present an opportunity for further private sector investment. They also tend to be inflationary, and this could cause further macroeconomic headwinds down the line. As a result, we saw smaller add-on deals prevail in Q1 at the expense of large megadeals and take-privates.

Like deal activity, exit activity dropped QoQ in Q1 2025 but was higher YoY. Exit value dropped 18% while exit count was 25.2% lower. We continue to see an increasing backlog of companies staying private for longer. The median holding time for a European PE-backed company ticked up to 3.4 years in Q1, up from 2.4 years in 2019. Similarly, deals continue to outpace exits. The investment-to-exit ratio further ticked up in Q1 to 2.6x, up from 2.3x in 2024.

Higher uncertainty creates further hesitation for sponsors to exit, most notably through IPOs, which remain muted. Limited valuation data suggests that deals are being priced at much lower multiples in Q1 than in 2024. The Nordics and the Germany, Austria & Switzerland (DACH) region have shown the highest resilience in deal and exit activity in Q1, as they enjoyed a relatively higher market share. The top three deals in Q1 came from those regions.

We expected 2025 to be the return of the IPO market, but Q1 was far from the return the market was hoping for. Market volatility and geopolitical uncertainty overshadowed any possibility for blockbuster IPOs in Q1. In fact, we note a list of companies that have postponed their IPOs due to market conditions.

Source: European PE Breakdown Q1 2025

The Fund portfolio and their management teams

End of Q1 2025, the portfolio of palero S.à r.l. comprises of only one investment: Schlaadt Plastics GmbH



The Company including its subsidiaries has been acquired in November 2021 from the owner family. Schlaadt Plastics manufactures functional and packaging moulded parts from particle foams – in particular EPS, but also EPP and copolymers – for customers in the automotive, heating, sanitary and household appliance sectors.

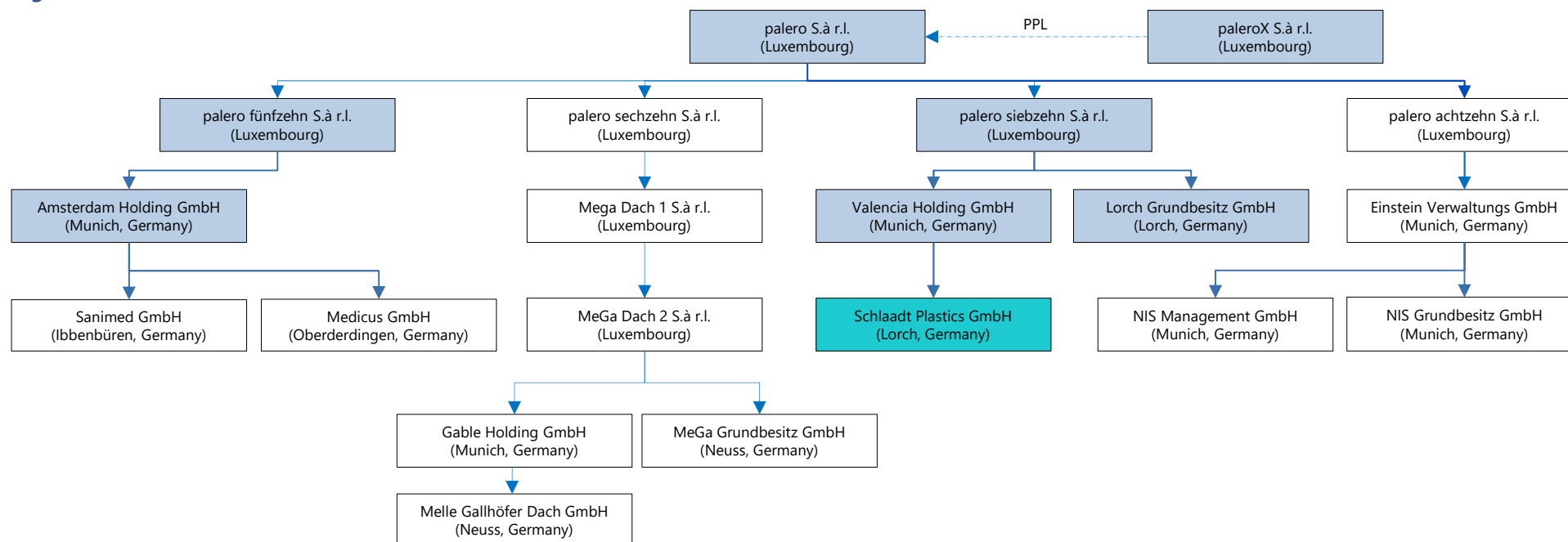
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Munich, May 2025

Fund reporting

Closing date	01.10.2018	Investment period	Oct 1, 2018 until Sep 30, 2022
Vintage year	2018	Fund's domicile	Luxembourg
Total commitment	EUR 18m + top up fund	Legal form	SARL
Structure	palero S.à r.l. (base fund): One Limited Partners (Nord KB Micro-Cap V GmbH & Co. KG) and three General Partners (pp1 GmbH, pp2 GmbH and pp3 GmbH) paleroX S.à r.l. (top-up fund): One Limited Partners (Nord KB Dachfonds IV Beteiligungsgesellschaft mbH) and three General Partners (pp1 GmbH, pp2 GmbH and pp3 GmbH)		
Management company	palero capital GmbH, Munich		
Investment focus	Turn-around/corporate carve-out fund for small/mid cap companies in the German speaking markets		

Legal structure as of March 31, 2024



Fund summary

Fund Summary

in mEUR

	Q1 2025	Q1 2025	Q4 2024	Q4 2024
	mEUR	% Committed Capital	mEUR	% Committed Capital
Total committed - base fund (palero S.à r.l.)	18,0	78%	18,0	78%
Total committed - top-up fund (paleroX S.à r.l.)	5,1	22%	5,1	22%
Total drawdowns	18,1	78%	18,1	78%
Total additional committed to portfolio companies	0,0		0,0	
Total remaining for drawdown	5,0	22%	5,0	22%
Potential drawdowns for next reporting period	0,0	0%	0,0	0%
Cumulative distributions	46,8	202%	46,8	202%
Recallable distributions	0,0	0%	0,0	0%
Equity Value of current portfolio	14,96		14,12	
Total cash of holding companies as of March 31, 2025	0,10		0,22	
Total debt of holding companies as of March 31, 2025	0,00		0,00	
Equity Value of the fund	15,06		14,34	
Multiples to investors				
Distributions to paid-in capital (DPI)	2,58x		2,58x	
Residual value to paid-in capital (RVPI)	0,83x		0,79x	
Total value to paid-in capital (TVPI)	3,42x		3,38x	
Paid-in capital to committed capital	0,78x		0,78x	
Total invested in portfolio companies	16,2	70%	16,2	70%
Total invested in structure and mgmt fees	2,0	8%	2,0	8%
Total additional committed to portfolio companies	0,0	0%	0,0	0%
Total additional planned for follow-on investments	0,0	0%	0,0	0%
Total distribution/contribution offset	0,0	0%	0,0	0%
Total remaining for investments	5,0	22%	5,0	22%
Total allocated to portfolio companies	16,2	70%	16,2	70%

Cash Flow schedule and Net IRR

Cash Flow Schedule and Net IRR Calculation Table

in kEUR

Investors Commitment: EUR 18,000,000 (base fund) + EUR 3,532,500 (top-up fund)					
Date of Cash Flow	Contributions from Investors	... thereof recycled funds	Distributions to Investors ¹	Fund's Net Asset Value (NAV)	Cash Flows and NAV
Nov-18	-200				-200
Dec-18	-250				-250
Feb-19	-250				-250
Feb-19	-250				-250
Apr-19	-250				-250
Sep-20	-250				-250
Nov-19	-250				-250
Jan-20	-250				-250
Mar-20	-2.520				-2.520
Feb-21	-8.033				-8.033
Aug-21	0		24.671		24.671
Nov-21	-5.250	-5.250			-5.250
Dec-21	0		20.591		20.591
Aug-22	-100	-100			-100
Mar-23	-250	-250			-250
Jan-24	0		-1.422		-1.422
Jun-24	0		2.950		2.950
Mar-25	0			15.059	15.059
Total cash flows	-18.103	-5.600	46.790		
Net IRR²					150,8%
Multiples to investors					
Distributions to paid-in capital (DPI)					2,58x
Residual value to paid-in capital (RVPI)					0,83x
Total value to paid-in capital (TVPI)					3,42x

in kEUR

1 - Distribution amount bears interest from respective shareholder loan

2 - The above schedule represents net cash flows between the investors and the fund on an aggregate basis. Due to individual contribution payment dates, the personal net IRR of an individual investor may slightly differ from the above

Realization summary

Realization Summary

in mEUR

mEUR	Disposal Date	Holding period (months)	% Fund's Holding Sold	Cost of Realized Investment	Distr. Proceeds ¹	Further expected proceeds ²	Realized Gains/Losses	Max total gain/loss	Realized Multiple to Cost	Achievable Multiple to Cost	Realized Gross IRR	Exit Method
During the current Reporting Period January 1 - March 31, 2025:												
<i>There have been no realizations during the current reporting period.</i>												
Since Inception to date												
Sanimed	26.07.21	16	100,0%	2,52	24,42	0,00	21,90	21,90	9,69x	9,69x	434,10%	Trade Sale
Melle Gallhöfer Dach	31.10.21	9	50,0%	8,03	20,59	0,00	12,56	12,56	2,56x	2,56x	265,02%	Trade Sale
Investment structure (not including Management Fees)				0,25	0,25	0,00	0,00	0,00	1,00x	1,00x		
Total Full Realizations				10,80	45,26	0,00	34,46	34,46	4,19x	4,19x		
Total Partial and Full Realizations				10,80	45,26	0,00	34,46	34,46	4,19x	4,19x		

in mEUR

1 - Including escrow, rental guarantee, former capital repayments during holding period as well as interest paid out - but only amounts received and/or already released and distributed to investors

2 - Further proceeds available from release of escrow accounts and deferred purchase price tranches

Current Portfolio summary

Current Portfolio Summary

in mEUR

	Date of Initial Investment (Closing of transaction)	% Ownership		Cost of Investment	Enterprise Value as of March 31, 2025	Equity Value as of March 31, 2025		Capital Repayments/ Distributions since inception	Realized Gains	Unrealized Cost	Total Value of the investments as of March 31, 2025	Total Value/Initial cost as of March 31, 2025
		<i>legally</i>	<i>fully diluted</i>	<i>fully diluted</i>	<i>legally</i>	<i>legally</i>	<i>fully diluted</i>	<i>fully diluted</i>	<i>fully diluted</i>	<i>fully diluted</i>	<i>fully diluted</i>	<i>fully diluted</i>
Current portfolio												
Schlaadt Plastics GmbH	15.11.2021 ¹	100,0%	81,5%	5,25	33,56	18,37	14,96	2,95	0,00	2,30	17,91	3,41x
Total current portfolio				5,25	33,56	18,37	14,96	2,95	0,00	2,30	17,91	3,41x
investment structure (not including Management Fees)				0,35	0,00	0,00	0,00	0,35	0,00	0,00	0,35	n.a.
Total palero S.à r.l. and paleroX S.à r.l.				5,60	33,56	18,37	14,96	3,30	0,00	2,30	18,26	3,26x

Note on valuation of single investments:

All investments are valued using a multiple methode derived from comparable companies in their respective industry. The investment's net debt is deducted from the Enterprise Value to derive the individual Equity Value.

1 - Closing of transaction of Schlaadt was November 15, 2021, but with economic effect as of January 1, 2021. Cost of investment of 4.5m EUR for base fund and 1.5m EUR for top-up fund.

Schlaadt: The EV/EBITDA multiple for the Industrial Industry averages at 7.9x. We applied a discount of 2.5x for reasons of profitability, fungibility, geography and size. This leads to a EV/EBITDA multiple of 5.40x applied for the current valuation.

Portfolio company: Schlaadt Plastics GmbH

Legal and trading Name	Schlaadt Plastics GmbH	
Location of Head office or management	Lorch, Germany	
Total initial amount invested by the Fund	EUR 6.0m (base fund: EUR 4.5m, top-up fund: EUR 1.5m)	
Description of the business	packaging moulded parts from particle foams	
% Ownership and board representation by the Fund	100.00% (legally); 81.5% (economically)	
Cost of investment	EUR 6.0m	
Enterprise Value (legally) as of March 31, 2025	EUR 33.56m	
Interest, Repayments and Dividends since Inception	EUR 2.95m	

Trading record

<i>mEUR</i>	Q1 2025 ACT	Q1 2025 BUD	Q1 2025 ACT vs. BUD	FY 2025 BUD	FY 2024 ACT
Output	15.03	15.36	-0.33	62.00	58.21
Gross Profit	7.91	8.45	-0.54	34.10	30.88
EBITDA	1.52	1.46	0.06	6.22	5.72
EBIT	1.17	1.07	0.10	4.78	4.18
Net income	0.49	0.04	0.45	0.50	-0.86
Net Debt	15.19	n/a	n/a	n/a	16.42

Significant events

After a weak start into the new year, the month of March shows positive deviations from BUD and LY figures at almost all P&L levels. The positive result in March 2025 is supported by positive sales effects in USA +27% (commissioning of the second production line), Lorch +10% and Dillingen +5%. Furthermore, positive gas & electricity price developments (relevant for residual volumes not hedged on the futures market) and lower personnel expenses favored EBITDA in Q1 2025.

Despite the positive development in March, it is not yet possible to speak of a turnaround - the sales forecast and price trends on the energy markets are too uncertain for this, but EBITDA can be maintained at budget level, primarily due to consistent and continuous cost reductions. The restructuring programme and efficiency improvement projects have started as planned and give us confidence for the remainder of the year.

Portfolio company: Schlaadt Plastics – Budget 2025

<i>mEUR</i>	Q1-4 2024 ACT		FY 2024 BUD		Q1 2025 BUD		Q2 2025 BUD		Q3 2025 BUD		Q4 2025 BUD	
Output	58.21		69.18		15.36		14.99		16.51		15.14	
Material expenses ¹	-27.33		-34.48		-6.91		-6.72		-7.45		-6.82	
Gross Profit	30.88	53.0%	34.70	50.2%	8.45	55.0%	8.27	55.2%	9.07	54.9%	8.32	56.0%
Personnel costs	-15.54		-17.73		-4.29		-4.28		-4.29		-4.29	
Opex	-9.62		-9.96		-2.70		-2.61		-2.76		-2.67	
EBITDA	5.72	9.8%	7.01	10.1%	1.46	9.5%	1.38	9.2%	2.02	12.2%	1.36	8.9%
Depreciation	-1.54		-1.59		-0.39		-0.39		-0.39		-0.39	
EBIT	4.18	7.2%	5.42	7.8%	1.07	7.0%	0.99	6.6%	1.63	9.9%	0.97	6.4%
Financial result	-1.92		-2.47		-0.40		-0.39		-0.38		-0.47	
Extra-ordinary result	-2.70		-1.94		-0.51		-0.55		-0.48		-0.48	
Taxes	-0.42		-0.90		-0.12		-0.13		-0.12		-0.15	
Net income	-0.86	-1.5%	0.11	0.2%	0.04	0.3%	-0.08	-0.5%	0.65	3.9%	-0.13	-0.8%

Assumptions for Budget 2025:

- **Sales development:** Increase in sales volume by 3.9% compared to 2024: USA +20%, Lorch +10%, High Cut +5%, Dillingen -1%, Bretzfeld -22% ▪ Price increases for Neff Bretzfeld (+20%), High Cut (+3%) and BSH USA (+3.9%), price reduction for BSH Dillingen (-0.5%), constant price level for Lorch. Customer growth in the USA expanded by new customer Fox Blocks, scheduled start of production is April 2025. Cooperation has been agreed for the next 3 years
- **Production costs:** Material prices planned at Q2/Q3 2024 level, use of materials slightly lower due to the 'weight reduction' project planned. Savings in energy costs due to lower labour prices and increased efficiency of plant in Lorch
- **Personnel and opex costs:** Adjustment of wage structure on the basis of the newly introduced Quality-Matrix, increase in personnel costs by 3%. Reduction in the use of contract labour. Rent increase of 3% for Lorch property in Lorch and Dillingen. Implementation of freight tendering project.
- **Capex:** Investments of around EUR 1.5 million are planned, which will mainly be used to upgrade the systems. Investments in the USA (EUR 0.9 million) for the new customer will be recognised through leasing.

Portfolio company: Schlaadt Plastics – Budget 2025

<i>mEUR</i>	12/2024 ACT	3/2025 BUD	6/2025 BUD	9/2025 BUD	12/2025 BUD
Immaterial assets	0.09	0.14	0.14	0.14	0.14
Fixed assets	10.76	9.09	9.03	8.97	8.89
Inventory	6.37	7.33	6.65	8.09	6.62
Trade receivables	1.67	2.41	2.17	2.66	2.27
Factoring	0.00	0.00	0.00	0.00	0.00
Other assets	9.07	8.53	8.67	8.81	8.95
Current assets	17.10	18.26	17.48	19.56	17.85
Cash	2.27	2.17	2.17	2.17	2.17
Deferred expenses	3.00	3.23	3.23	3.23	3.23
TOTAL ASSETS	33.22	32.89	32.05	34.07	32.28
Equity	7.15	6.95	6.88	7.54	7.41
Shareholder loans	0.00	0.00	0.00	0.00	0.00
Accruals	6.03	6.84	6.26	6.53	6.80
Trade payables	3.10	3.35	3.08	3.63	3.83
Bank debt	13.03	13.65	13.99	14.47	12.44
Seller liability	0.00	-0.51	-0.51	-0.51	-0.51
Other payables	3.91	2.60	2.36	2.42	2.30
TOTAL EQUITY AND LIABILITIES	33.22	32.89	32.05	34.07	32.27

Capital Accounts since inception – BASE FUND

The palero invest Fund (all investors) – Capital Account since Inception to March 31, 2025
in mEUR

Capital Account since inception to Mar 31, 2025 in mEUR												Capital Account at Fair Value as of Mar 31, 2025 FULL WATERFALL
Investor	Ownership	Total Commitment	Opening Balance	Cum. Contrib.	Thereof Mgmt Fee	Capital share	Cum. Distrib. ¹	Realised Gains/Losses	Total amount distributed	Allocation of unrealized appreciation above cost ²	Capital Account at Fair Value as of Mar 31, 2025	
NH (Mirco-Cap V)	55,6%	10,00	0,00	8,23	1,50	0,03	8,26	9,32	17,59	7,10	7,10	3,57
pp1	14,8%	2,67	0,00	1,80	0,00	0,02	1,82	5,28	7,10	1,89	1,89	3,07
pp2	14,8%	2,67	0,00	1,80	0,00	0,02	1,82	5,28	7,10	1,89	1,89	3,07
pp3	14,8%	2,67	0,00	1,80	0,00	0,02	1,82	5,28	7,10	1,89	1,89	3,07
Total Fund	100,0%	18,00	0,00	13,62	1,50	0,10	13,72	25,15	38,87	12,77	12,77	12,77

Capital Accounts since inception – TOP-UP FUND

in mEUR

Capital Account since inception to March 31, 2025 in mEUR												Capital Account at Fair Value as of Mar 31, 2025 FULL WATERFALL
Investor	Ownership	Total Commitment	Opening Balance	Cum. Contrib.	Thereof Mgmt Fee	Capital share	Cum. Distrib. ¹	Realised Gains/Losses	Total amount distributed	Allocation of unrealized appreciation above cost ²	Capital Account at Fair Value as of Mar 31, 2025	
NH (Dachfonds IV)	99,0%	5,08	0,00	4,24	0,00	0,05	4,29	2,81	7,10	2,26	2,26	1,80
pp1	0,3%	0,02	0,00	0,01	0,00	0,02	0,03	0,24	0,27	0,01	0,01	0,16
pp2	0,3%	0,02	0,00	0,01	0,00	0,02	0,03	0,24	0,27	0,01	0,01	0,16
pp3	0,3%	0,02	0,00	0,01	0,00	0,02	0,03	0,24	0,27	0,01	0,01	0,16
Total Fund	100,0%	5,13	0,00	4,28	0,00	0,10	4,38	3,53	7,92	2,29	2,29	2,29

in mEUR

1 - Not including interest paid out, but distributions recycled for other investments. Interest is shown under column "Realised Gains and Losses"

2 - Portfolio companies currently valued above cost - not due to investors until realized and on a pro-forma basis for illustrative purposes only

Fees overview

Fees paid by Nord Holding

	kEUR
Q4	250
TOTAL FY 2018	250
Q1	250
Q2	250
Q3	250
Q4	250
TOTAL FY 2019	1.000
Q1	250
TOTAL FY 2020	250

Fees paid by portfolio companies

	kEUR
TOTAL FY 2020 incl. Transaction Fee	1.375
TOTAL FY 2021	1.013
Q1	313
Q2	313
Q3	313
Q4	313
TOTAL FY 2022	1.252
Q1	312
Q2	263
Q3	263
Q4	263
TOTAL FY 2023	1.100
Q1	263
Q2	263
Q3	263
Q4	263
TOTAL FY 2024	1.052
Q1	263
Q2	
Q3	
Q4	
TOTAL FY 2025	263

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